

such a rate of interest might not be too high (*d*); and in another, where an executor could plead extenuating circumstances 4 per cent. only was charged (*e*).

16. **Whether simple or compound interest chargeable where moneys used by executor or trustee in trade.**—Whether, where the money has been employed in trade, *simple* or *compound* interest shall, *as a general rule*, be charged, is a point upon which the decisions are in conflict, the older authorities pointing to *simple* interest as the proper measure of liability, and the more recent to *compound* interest. The earliest reported case in which a trustee who had used trust money in trade appears to have been charged compound interest is that of *Walker v. Woodward* (*f*). The late Vice-Chancellor of England refused to charge a trustee of a charity estate, who had used the trust monies in carrying on his trade, with compound interest (*g*); but Sir John Leach charged an executor with compound interest under similar circumstances (*h*), and in other later decisions Sir John Romilly, M. R., in accordance with the rule laid down by him (as before stated), directed an account with rests (*i*). But in a [*343] later case still, * the Court of Appeal refused to direct compound interest (*a*). [In a still later case where an administratrix had allowed her solicitor to receive and retain the dividends on securities, which had been set apart for an infant next-of-kin, she was decreed to account for the dividends with interest at 3 per cent. with half yearly rests, on the ground that the administratrix ought to have had the dividends invested from time to time in consols, and the proceeds would have formed a common fund with the existing securities, and the dividends would thus have been invested at compound interest (*b*).]

17. **Trustee neglecting a direction to accumulate, will be**

(*d*) *Treves v. Townshend*, 1 B. C. C. 384.

(*e*) *Melland v. Gray*, 2 Coll. 295.

(*f*) 1 Russ. 107.

(*g*) *Attorney-General v. Solly*, 2 Sim. 518.

(*h*) *Heighington v. Grant*, 5 M. & Cr. 258; 2 Ph. 600.

(*i*) *Jones v. Foxall*, 15 Beav. 388;

Williams v. Powell, Id. 561; and see

Walrond v. Walrond, 29 Beav. 586.

(*a*) *Burdick v. Garrick*, 5 L. R. Ch. App. 233.

[(*b*) *Gilroy v. Stephens*, 51 L. J.

N. S. Ch. 834.]